

Chapter 09 — AS 9: Revenue Recognition

1. The Problem

Imagine you run a furniture business. On 28 March you get a firm order from a customer for a dining table worth ₹80,000. You manufacture it in early April, deliver it on 20 April, raise the invoice the same day, and the customer pays on 10 May. Simple story — but now the auditor asks a deceptively hard question: **in which year did you earn that ₹80,000?**

The answer is not obvious, and it matters enormously. Your financial year ends on 31 March. If you can book the ₹80,000 in the year of the *order* (the year just ending), your current-year profit looks fat. If you must wait until *delivery*, it belongs to the next year. If you must wait until *cash comes in*, it belongs to yet another period. Same transaction, three completely different profit pictures depending on the timing rule you choose.

Now scale this problem up. A construction company signs a ₹500-crore contract that runs for four years — does it show zero profit for three years and a mountain in year four? A software firm sells a three-year maintenance plan and collects the full fee up front — has it earned all of it on day one? A bank has lent ₹10 crore — when does the interest "happen"? A shopkeeper sells goods on credit to a customer he privately suspects will never pay — should he still book the sale as income?

Every one of these is the **same underlying disease**: *revenue is an event that unfolds over time*, but financial statements must slice that continuous flow into discrete annual periods. Get the slicing wrong and you can:

- **Inflate profits** by booking income you haven't truly earned (aggressive) — misleading investors, lenders, and the tax department.
- **Deflate profits** by delaying income you have earned (conservative to a fault) — equally misleading.
- **Manipulate at will** — if there were no rule, every company would pick the timing that flatters this year's bonus.

Because "when do I recognise revenue?" sits at the very top of the profit and loss account, an error here poisons *everything below it* — profit, tax, EPS, dividends, ratios. This is why revenue recognition is the single most important, most examined, and most abused area in accounting. **AS 9 exists to impose one disciplined, consistent answer to "when?" — so that profit means the same thing across companies and across years.**

2. The Core Idea

Strip away all the sub-rules and AS 9 rests on a single principle:

Recognise revenue when you have substantially done what you promised, AND you can measure what you'll get, AND you're reasonably sure you'll actually get it.

Think of revenue as **the moment the "earning" work is genuinely finished — not when the deal is signed, and not when the cash arrives**. Signing is a *promise*; cash is *settlement*; earning sits in between. AS 9 anchors income to the earning moment.

Analogy — the relay race baton. In a relay, the runner's leg is "done" not when he starts running and not when the crowd applauds afterwards, but at the precise instant the baton is handed over — the point of no return, where the risk of dropping it passes to the next runner. For goods, that handover instant is the **transfer of significant risks and rewards of ownership** (usually delivery). Before the handover, you still own the outcome; after it, you've done your part.

But finishing the work is not enough. Two gatekeepers stand at the door:

1. **Measurability** — can you put a reliable rupee figure on it? If the price is still under dispute or genuinely uncertain, you can't book a number you don't yet know.
2. **Collectability** — is it reasonably certain the money will come? Income is a claim on future cash. If that claim is worthless, booking it is a lie dressed as profit.

So the full core idea is a three-lock door: **Performance done + Amount measurable + Collection reasonably certain** → **recognise**. Fail any lock, and revenue waits.

3. Why It's Built This Way

Let's justify each design choice by asking *what breaks without it*.

Why not recognise at order/contract signing? Because a promise is not performance. If you booked revenue when the order came in, a company could sign a flurry of orders on 30 March, book all the revenue, then quietly let half of them get cancelled in April. Profit becomes a function of *intentions*, not *deliveries*. Anchoring to performance kills this game.

Why not recognise only when cash is received? That's the cash basis, and it destroys *matching*. A company that sells ₹1 crore of goods on credit in March has genuinely earned that income — it has parted with its goods, borne the cost, and holds an enforceable claim. Refusing to recognise until May would understate March's profit and misrepresent the business. Accrual accounting says: match income to the period in which it was *earned*, not when it was *collected*. AS 9 is fundamentally an accrual standard.

Why "significant risks and rewards" rather than "legal title"? Because legal ownership can lag or lead the economic reality. Substance over form. Consider goods sent on **sale-or-return** basis: legal title may pass on dispatch, but the customer can send them back, so the *risk* hasn't really moved — you shouldn't book revenue yet. Conversely, goods may be delivered and used by the buyer while a financing arrangement keeps legal title with the seller — economically it's a sale. AS 9 tracks the *economic* handover (risk + reward), not the paperwork.

Why the measurability gate? Because you cannot record a number you cannot reliably determine. If a sale is made but the final price is subject to an unresolved dispute — say the buyer contests quality — booking a figure you might have to reverse would inject fiction into the accounts. Better to wait until the number is knowable.

Why the collectability gate — and why is this special? Here's the subtle part. Ordinarily, a doubtful debt is handled *below* the revenue line — you recognise the full sale, then create a provision for doubtful debts as an expense. But AS 9 says: if **at the very time of the sale** there is *significant uncertainty* about collection, you should **postpone recognition altogether**. Why the difference? Because if collection is doubtful *from the outset*, the "revenue" was never really earned in an economic sense — you've handed goods to someone who probably won't pay, which is closer to a donation than a sale. The distinction the exam loves: *uncertainty existing at the time of sale → postpone revenue; uncertainty arising later → recognise revenue, then provide for the bad debt as a separate charge*.

Why treat interest, royalties, and dividends separately from goods and services? Because their "earning" doesn't happen at a single handover point. Interest is compensation for the *use of money over time* — so it accrues *proportionately as time passes*. A royalty is compensation for the *use of an asset* (a patent, a brand) — so it accrues *as the asset is used*, per the agreement. A dividend is a share of someone else's profit — you have no claim until *they declare it*, so recognition waits for the **right to receive** to be established. Each rule mirrors the economic nature of the income.

Why does AS 9 hand construction contracts over to AS 7? Because a four-year contract can't sensibly wait until completion to show any profit — that would make the P&L lumpy and meaningless. Long-term contracts need *percentage-of-completion* accounting, which is a specialised regime. AS 9 draws its boundary and says "construction contracts: not my department — see AS 7." Understanding this boundary is a favourite exam theme (Section 7).

4. Full Technical Content (the RMPD lens)

4.0 Scope — what AS 9 covers and what it excludes

AS 9 deals with recognition of revenue arising in the ordinary course of business from: 1. **Sale of goods** 2. **Rendering of services** 3. **Use by others of enterprise resources yielding interest, royalties and dividends**

Explicitly outside AS 9's scope (each governed elsewhere or by their own logic): - Revenue from **construction contracts** → AS 7 - Revenue from **hire-purchase and lease agreements** → their own treatment - Revenue from **government grants and subsidies** → AS 12 - Revenue of **insurance companies** from insurance contracts - Realised/unrealised gains from disposal of fixed assets, foreign exchange changes, etc. — these are *gains*, not *revenue* from ordinary operations.

Key definition — Revenue is the *gross inflow of cash, receivables or other consideration* arising in the ordinary course of business from the sale of goods, rendering of services, and use of enterprise resources by others yielding interest, royalties and dividends. Crucially, revenue is measured by the **charges made to customers/clients** — it is a *gross* concept at the top line.

Amounts collected on behalf of third parties are NOT revenue. GST, sales tax, and similar taxes collected are collected *for the government*, not earned by the enterprise, so they are excluded from revenue. Likewise, in an **agency relationship**, the *commission* is the agent's revenue — not the gross amount collected for the principal. This is the "gross vs net" distinction the examiner tests: a travel agent booking a ₹50,000 ticket for a ₹2,000 commission has revenue of ₹2,000, not ₹50,000.

4.1 RECOGNITION

(A) Sale of Goods

Revenue from the sale of goods is recognised when **all** the following conditions are satisfied:

1. **The seller has transferred to the buyer the significant risks and rewards of ownership** of the goods. This is the master test. Usually this coincides with transfer of possession (delivery). Where possession is transferred but significant risks/rewards are retained, recognition is deferred.
2. **No significant uncertainty exists regarding the amount of consideration** (measurability), and
3. **It is reasonable to expect ultimate collection** (collectability).

The pivotal phrase is *significant risks and rewards of ownership*. Some concrete situations:

Situation	Have risks & rewards passed?	Recognise?
Ordinary delivery to customer	Yes, on delivery	Yes
Goods sent on sale-or-return /approval	No — buyer can return	Only on acceptance or expiry of return period
Goods delivered but seller must install and installation is significant	No, until installed	On completion of installation
Consignment (goods sent to agent)	No — still consignor's risk	Only when agent sells to third party
Goods sold with seller retaining title only as security for payment	Yes — economic risk passed	Yes, on delivery
Delivery delayed at buyer's request (buyer takes title, seller holds goods) — "bill and hold"	Yes, if buyer accepts billing	On billing, provided goods are ready and identified

(B) Rendering of Services

Two permitted methods, depending on the nature of the service:

- **Proportionate Completion Method** — revenue is recognised proportionately by reference to the performance of *each act*. Used when the service is performed by more than one act over a period. Revenue is recognised as the acts are performed, i.e., in step with the degree of completion.

- **Completed Service Contract Method** — revenue is recognised only when the *sole or final act* is completed and the service becomes chargeable. Used when the service is essentially a single act, or the substantial performance can't be considered complete until the very end.

In *both* cases, the two gates still apply: recognise only when there is **no significant uncertainty about measurement and collection**. Note this is a genuine difference from AS 7: AS 9's service method does **not** book profit on a loss-making basis the way percentage-of-completion mandates immediate loss recognition — AS 9 focuses on recognising *revenue* as earned.

(C) Interest, Royalties, Dividends (use of enterprise resources by others)

Recognise (again, only when no significant uncertainty and collectability is reasonable):

- **Interest** — on a **time proportion basis**, taking into account the amount outstanding and the rate applicable. (Interest is the price of time, so it accrues with time.)
- **Royalties** — on an **accrual basis in accordance with the terms of the relevant agreement** (e.g., per unit sold, per copy printed). Recognise as the underlying activity that triggers the royalty occurs.
- **Dividends** — when the **owner's right to receive payment is established**, i.e., when the dividend is *declared* by the paying company (in AS terms, when the right to receive is established).

4.2 MEASUREMENT

- Revenue is measured at the **charges made to customers/clients** for goods supplied or services rendered — i.e., the **consideration**, net of trade discounts and rebates, and **excluding amounts collected on behalf of third parties** (taxes) and, for agents, excluding the principal's share.
- **Trade discounts** are deducted from revenue (they reduce the price charged). **Cash discounts** are *not* deducted from revenue — they are a financing/collection cost recorded separately.
- Where consideration is **not determinable within reasonable limits**, recognition is postponed until it becomes determinable.

4.3 The overriding gate — Effect of Uncertainties

This is the heart of the standard and the exam's happy hunting ground:

- **Uncertainty about MEASUREMENT** (amount not determinable) → **postpone recognition** until determinable.
- **Uncertainty about COLLECTION existing at the time of sale/rendering** → **postpone recognition** of revenue to the extent of the uncertainty. Recognise only when reasonably certain of collection.
- **Uncertainty about collection arising AFTER revenue was already recognised** → do **NOT** reverse or postpone the revenue. Instead make a **separate provision for the doubtful/uncollectable amount as an expense**, not an adjustment of the revenue originally recorded.

Memorise the fork: *uncertainty at inception* → no revenue; *uncertainty later* → revenue stands, provide for bad debt.

4.4 DISCLOSURE

An enterprise must disclose the **circumstances in which revenue recognition has been postponed** pending the resolution of significant uncertainties. Additionally, the *accounting policy* adopted for recognising revenue — including the methods used to determine the stage of completion of service transactions — is disclosed as part of the significant accounting policies (AS 1).

4.5 Typical journal entries

Credit sale of goods (recognition on delivery):

```
Debtors / Bank                A/c    Dr.
    To Sales A/c
(Being goods sold, risks & rewards transferred on delivery)
```

Interest accrued on time-proportion basis at year end:

```
Accrued Interest              A/c    Dr.
    To Interest Income A/c
(Being interest earned for the period though not yet received)
```

Dividend recognised when declared:

```
Dividend Receivable          A/c    Dr.
    To Dividend Income A/c
(Being dividend recognised on establishment of right to receive)
```

Uncertainty arising AFTER recognition — provision (revenue not touched):

```
Bad Debts / Provision for Doubtful Debts  A/c    Dr.
    To Sundry Debtors / Provision A/c
(Being provision for a debt that became doubtful after sale was recorded)
```

5. Worked Examples

Example 1 (easy) — Timing on sale of goods across year-end

Facts. Zenith Ltd receives an order on 26 March 2026 for goods worth ₹4,00,000. It manufactures them in April, delivers on 18 April 2026, and receives payment on 5 May 2026. Zenith closes books on

31 March. In which year is revenue recognised, and how much appears in FY 2025-26?

Reasoning. - **Order (26 Mar)** is only a promise — no risks/rewards transferred, nothing performed. No recognition. - **Delivery (18 Apr)** is when significant risks and rewards pass — this is the recognition trigger. - Payment date is irrelevant to *recognition* (accrual, not cash basis).

Conclusion. Revenue of ₹4,00,000 is recognised in **FY 2026-27**, not 2025-26. FY 2025-26 shows **nil** from this transaction. A student tempted to book it in the order year has committed the classic error of recognising a promise as performance.

Example 2 (medium) — Gross vs net, trade vs cash discount, taxes

Facts. Kalp Traders sells goods with a list price of ₹10,00,000. It allows a **trade discount of 10%**, charges **GST at 18%** on the discounted price, and offers a **2% cash discount** for payment within 10 days (the customer pays within 10 days). Compute the **revenue** to be recognised under AS 9.

Reasoning, step by step. 1. **Trade discount reduces the charge** to the customer, so it is deducted to arrive at revenue: - List ₹10,00,000 - 10% = **₹9,00,000** (this is the invoice value of goods). 2. **GST is collected on behalf of the government** — it is *not* the enterprise's revenue. GST = 18% × 9,00,000 = ₹1,62,000, **excluded** from revenue. 3. **Cash discount** (2% × 9,00,000 = ₹18,000) is a *financing incentive for early payment* — it is **not** deducted from revenue. It is recorded separately as an expense ("Discount Allowed").

Conclusion. **Revenue under AS 9 = ₹9,00,000.** The ₹1,62,000 GST is a liability to the government; the ₹18,000 cash discount is an expense that does **not** reduce the recognised revenue figure. The examiner's trap is to lure you into deducting the cash discount from revenue or including GST in it — both wrong.

Example 3 (medium-hard) — The uncertainty fork

Facts. On 15 February 2026, Orbit Ltd sells specialised machinery to a customer for ₹25,00,000; goods are delivered and accepted, invoice raised. Consider two independent scenarios at 31 March 2026:

- **Scenario A:** At the date of sale, the buyer was already in serious financial distress and its ability to pay was in *significant doubt from the outset*.
- **Scenario B:** The sale was to a sound customer, but in late March the buyer's factory burned down and recovery of ₹25,00,000 has now become doubtful.

How is each treated?

Reasoning. - The recognition test requires that, *at the time of sale*, collection be reasonably expected. - **Scenario A** — the collectability gate **fails at inception**. There was significant uncertainty about consideration at the moment of sale. Under AS 9, revenue recognition should be **postponed**; Orbit should *not* book the ₹25,00,000 as revenue until collection becomes reasonably certain. (Economically, handing costly machinery to a near-insolvent buyer isn't a genuine earned sale.) - **Scenario B** — collectability was fine at the time of sale; recognition was **validly made**. The uncertainty *arose afterwards*. AS 9 says: **do not reverse the revenue**. Instead, recognise a **separate**

expense / provision for doubtful debt of ₹25,00,000. Revenue of ₹25,00,000 stays in the P&L; a provision of ₹25,00,000 also hits the P&L as an expense.

Conclusion. Same amount, same doubt, opposite treatment — because **the timing of the uncertainty (at inception vs after) is what decides**. This is arguably the most-tested single idea in AS 9.

Example 4 (hard) — Services: proportionate vs completed, plus a sale-or-return

Facts. Aarav Consultants runs two engagements and one goods transaction in FY 2025-26:

1. A **12-month advisory retainer** signed on 1 October 2025 for ₹24,00,000, under which Aarav performs monthly deliverables of roughly equal effort. By 31 March 2026, 6 months are complete.
2. A **one-shot due-diligence assignment** for ₹8,00,000 — a single indivisible report — commissioned in March 2026; the report is 70% drafted at year-end but not yet delivered or chargeable.
3. Goods worth ₹5,00,000 sent on **sale-or-return** basis on 20 March 2026; the customer's approval period expires 30 April 2026; at 31 March the customer has neither accepted nor rejected.

Compute revenue recognised in FY 2025-26 for each.

Reasoning. 1. **Retainer** — service performed through *multiple acts over time* → **proportionate completion method**. Equal monthly effort ⇒ recognise 6/12 of ₹24,00,000 = **₹12,00,000**. The remaining ₹12,00,000 is unearned (a liability, "income received/receivable in advance" if billed). 2. **Due-diligence** — a *single, indivisible act* that becomes chargeable only on delivery of the final report → **completed service contract method**. Not yet complete, not yet chargeable ⇒ recognise **nil** in FY 2025-26, despite 70% drafting. (Note the contrast with AS 7, where a 70%-complete construction contract *would* book 70% of revenue.) 3. **Sale-or-return** — significant risks and rewards have **not** passed while the buyer can still return the goods and hasn't accepted. ⇒ recognise **nil**; the goods remain Aarav's inventory at 31 March. Revenue (₹5,00,000) is recognised only on acceptance or on expiry of the return period (April) without rejection.

Total FY 2025-26 revenue from these three = ₹12,00,000.

Why it works: each item's recognition mirrors *how the earning actually accrues* — continuously (retainer), at a single endpoint (due-diligence), and on transfer of risk (goods).

Example 5 (hard) — Interest, royalty, dividend on a time line

Facts. Nova Ltd, closing on 31 March 2026, has: - A ₹20,00,000 fixed deposit at 9% p.a. made on 1 January 2026; interest is received on maturity (30 June 2026). - A licensing deal earning a royalty of ₹50 per unit its licensee sells; the licensee sold 8,000 units up to 31 March 2026 but will remit the royalty in June 2026. - 10,000 shares in Peak Ltd; Peak's board **declared** a dividend of ₹4/share on 28 March 2026, payable 20 April 2026.

How much income is recognised in FY 2025-26?

Reasoning. - **Interest** accrues on a **time-proportion** basis regardless of receipt date. From 1 Jan to 31 Mar = 3 months. Interest = $20,00,000 \times 9\% \times 3/12 = \text{₹}45,000$ accrued. (The rest accrues in the next year.) - **Royalty** accrues **per the agreement as units are sold** — $8,000 \text{ units} \times \text{₹}50 = \text{₹}4,00,000$, recognised now even though cash comes in June (accrual basis; the earning event — the licensee's sales — has occurred). - **Dividend** is recognised when the **right to receive is established**, i.e., on **declaration (28 Mar)**, which falls in FY 2025-26. Income = $10,000 \times \text{₹}4 = \text{₹}40,000$. (Had declaration been on 2 April, it would belong to next year.)

Total income recognised in FY 2025-26 = $45,000 + 4,00,000 + 40,000 = \text{₹}4,85,000$. Each stream is recognised by the logic of *how it is earned*: time, usage, and right-to-receive respectively.

6. Presentation & Disclosure Formats

On the face of the Statement of Profit and Loss (Schedule III), revenue appears at the very top as **"Revenue from Operations"**, followed by **"Other Income"**. Interest and dividend income of a non-financial enterprise typically sit in *Other Income*, while for a financing enterprise interest is part of *Revenue from Operations*. Note that revenue is shown **net of GST** (GST is not revenue) but is a **gross** figure otherwise (before deducting cost of goods sold).

Extract — Statement of Profit and Loss (illustrative):

Particulars	Note	₹
Revenue from Operations	X	9,00,000
Other Income (interest, dividend, royalty)	Y	4,85,000
Total Income		13,85,000

In the Notes / Significant Accounting Policies (AS 1 + AS 9): - The **revenue recognition policy**: e.g., "Revenue from sale of goods is recognised when significant risks and rewards of ownership are transferred to the buyer, generally on delivery. Revenue from services is recognised on the proportionate completion method. Interest is recognised on a time-proportion basis; dividend when the right to receive is established; royalty on an accrual basis per the terms of the agreement." - The **method used to determine stage of completion** for service transactions. - **Circumstances in which revenue recognition has been postponed** owing to significant uncertainties (the mandatory AS 9 disclosure) — e.g., "Revenue of ₹___ on the sale to XYZ has been postponed pending resolution of uncertainty over collectability."

7. Connections

Links to	How it connects
AS 7 – Construction Contracts	The mirror-image standard. AS 9 explicitly <i>excludes</i> construction contracts. AS 7 uses percentage-of-completion , forces immediate recognition of expected losses , and recognises revenue by stage of completion — because a multi-year contract can't wait until completion. AS 9's completed-service method, by contrast, may defer all revenue to the end. Examiners love a compare-and-contrast.
AS 1 – Disclosure of Accounting Policies	Revenue recognition is a <i>fundamental accounting policy</i> disclosed under AS 1; accrual is a fundamental assumption underpinning AS 9.
AS 4 – Events After Balance Sheet Date	If a debtor becomes insolvent <i>after</i> the balance sheet date but the condition existed on that date, it is an <i>adjusting event</i> — interacts with the "uncertainty arising later" provision.
AS 12 – Government Grants	Grants are excluded from AS 9 revenue and handled separately.
AS 10 / depreciation, AS 2 Inventory	Goods held on sale-or-return or consignment remain the seller's inventory (AS 2) until revenue is recognised — recognition timing directly affects closing stock.
Ind AS 115	The modern converged standard replaces AS 9/AS 7 with a five-step model (identify contract → performance obligations → transaction price → allocate → recognise on satisfaction of obligation). Know that AS 9 is the <i>risk-and-reward</i> model, Ind AS 115 the <i>control-transfer, performance-obligation</i> model.
Taxation	Since revenue sits atop the P&L, its timing drives taxable profit and advance-tax. Aggressive early recognition inflates tax; ICDS-IV mirrors much of AS 9 for tax purposes.
Audit & ethics	Revenue is the #1 fraud-risk area (SA 240 presumes fraud risk in revenue). Understanding AS 9 is essential to auditing cut-off.

8. Traps & Examiner Tricks

1. **The uncertainty fork (the #1 trap).** *At inception* → postpone revenue. *After recognition* → keep revenue, create a provision. Questions are worded to disguise *when* the doubt arose — read for the timing, not the amount.
2. **Cash discount vs trade discount.** Trade discount is **deducted** from revenue; cash discount is **not** (it's a separate expense). Reversing these loses easy marks.

3. **GST / taxes in revenue.** Amounts collected for third parties (GST, sales tax) are **excluded** from revenue. Watch for questions that quote a GST-inclusive figure.
4. **Agent vs principal (gross vs net).** An agent recognises only its **commission**, not the gross amount collected for the principal. Travel agents, commission agents, consignees.
5. **Order date ≠ recognition date.** Recognition follows **transfer of risks and rewards** (usually delivery), not the order and not the payment. Cross-year-end problems bait you into booking in the wrong year.
6. **Consignment and sale-or-return.** Goods still belong to the sender until the agent sells / the buyer accepts. No revenue on dispatch; goods stay in the sender's inventory.
7. **Service method mismatch.** A single indivisible service uses **completed contract**; a multi-act service uses **proportionate completion**. Don't book 70% of a single-report engagement.
8. **Dividend timing.** Recognise on **declaration** (right established) — not on the earlier balance sheet date and not on receipt. A dividend declared *after* year-end belongs to the next year.
9. **Interest is time-proportion, always.** Even if interest is received only at maturity, accrue the portion earned by year-end.
10. **AS 7 confusion.** If the question is a *construction contract*, AS 9 does **not** apply — switch to percentage-of-completion and immediate loss recognition. Spotting the boundary is itself a mark.
11. **"Bill and hold."** Delivery delayed at the *buyer's* request can still be recognised if the buyer accepts billing and goods are identified and ready — but not if the delay is at the *seller's* convenience.
12. **Installation obligation.** If installation is a *significant* part of the contract and not yet done, revenue waits; if installation is minor/incidental, recognise on delivery.

9. First-Principles Recap

- Revenue is earned at the **performance moment** — between the promise (order) and the settlement (cash). AS 9 anchors income there, on the **accrual** basis, not the cash basis.
- The master test for **goods** is transfer of **significant risks and rewards of ownership** — economic substance over legal title.
- **Services** are recognised either **proportionately** (multi-act) or on **completion** (single act) — mirroring how the service is actually delivered.
- **Interest = time** (time-proportion), **royalty = usage** (per agreement), **dividend = right to receive** (on declaration). Each rule follows the nature of the income.
- Two gates guard every recognition: **measurability** (know the amount) and **collectability** (reasonably certain of the cash).
- The decisive fork: **uncertainty at inception** → **postpone revenue**; **uncertainty later** → **keep revenue, provide separately** for the bad debt.
- Revenue is a **gross** figure of charges to customers, but **excludes third-party collections** (GST) and, for agents, the principal's share; **trade** discounts reduce it, **cash** discounts don't.

- **Disclose** the recognition policy and any circumstances where recognition was **postponed** for significant uncertainties.
- **Construction contracts belong to AS 7**, not AS 9 — different (percentage-of-completion) logic for a reason.

10. Quick-Revision Sheet

Recognition triggers

Revenue type	Recognise when...	Basis
Sale of goods	Significant risks & rewards transferred (usually delivery) + amount measurable + collection reasonably certain	Event/handover
Services (multi-act)	Acts performed	Proportionate completion
Services (single act)	Final act complete & chargeable	Completed service
Interest	As time passes	Time-proportion , on amount outstanding × rate
Royalty	As underlying activity occurs	Accrual per agreement
Dividend	Right to receive established	On declaration

The two gates (both must pass): Measurability (amount determinable) + Collectability (reasonably certain).

Uncertainty fork: - At **inception** → **postpone** revenue. - **After** recognition → **keep** revenue; book **separate provision/bad debt** expense. - Amount not **determinable** → postpone till determinable.

Measurement: Revenue = charges to customers, **net of trade discount, excluding GST/third-party collections; cash discount NOT deducted** (separate expense). Agent → only **commission**.

Not revenue / out of scope: Construction contracts (AS 7), hire-purchase/lease, government grants (AS 12), insurance contracts, gains on fixed-asset disposal / forex.

Disclosure: Recognition **policy** + **stage-of-completion method** + **circumstances of postponement**.

No-revenue-on-dispatch checklist: Consignment, sale-or-return (pending acceptance/return period), significant pending installation, doubtful collection at inception.

One-line memory hooks: Goods = *risk & reward*; Services = *proportion or completion*; Interest = *time*; Royalty = *use*; Dividend = *declared*; Doubt-at-start = *postpone*; Doubt-later = *provide*.